

Ruijie Networks (301165 CH)

Buy: SuperPOD adoption to further drive network demand growth

**Equities
Software**

China

- ◆ Market overlooks the quantitative scale of SuperPOD switch volume; we quantify demand and raise 2027-28e earnings
- ◆ SuperPOD boosts GPU-to-switch ratio to 4:1 (from 20:1), unlocking cRMB12bn near-term incremental revenue for Ruijie
- ◆ Maintain Buy; raise PE-based TP to RMB139.00 (from RMB129.00)

Market underestimates SuperPOD switch volume. Ruijie's share price has corrected 24% since its peak in mid August (vs SWS Communication Index down 7% over the same period) given cooled-down AI hardware sentiment. While the market has broadly recognised the narrative that SuperPOD will drive a surge in switch demand and ASP, there is a lack of quantitative analysis on switch volume magnitude. We quantified the incremental switch demand from localised SuperPOD in this report, and raise our 2027-28e earnings estimates. Our 2027 and 2028e revenue and net profit estimates are 7/4% and 25/7% above Wind consensus respectively. We expect Ruijie to continue to benefit from structural switch volume growth and ASP hikes, and we expect robust earnings growth to drive further valuation re-rating. Reiterate Buy.

We quantify incremental switch demand from localised SuperPOD. The transition from traditional tree topology GPU clusters to SuperPOD architecture represents a structural inflection in switch-to-GPU ratio. Per our analysis, GPU:switch ratio of a thousand-accelerator fat-tree SuperPOD cluster could reach 4:1, c5x of that of an ordinary fat-tree GPU cluster. We estimate China's domestic SuperPOD shipments to reach over 16,000 over 2H26-2027e, bringing c250k SuperPOD- switch demand. Assuming Ruijie's share of domestic SuperPOD switches is 30% with an ASP of RMB150k, we estimate incremental revenue of RMB12bn from SuperPOD switches over 2H26-2027e vs RMB7bn in 2025 for traditional switch revenue.

Estimate revisions. We raise our 2026-28 revenue estimates by 5%, 29%, and 27%, respectively, mainly as we factor in domestic SuperPOD switch demand and expect higher data centre switch sales volume and higher ASPs for Ruijie. Along with higher R&D investment in SuperPOD switches and advanced optical architecture, we raise our 2027-28e net profit by 48% and 33%, respectively.

Maintain Buy; raise PE-based TP to RMB139.00 (from RMB129.00) mainly as: 1) we continue to refer to peers' valuation but apply a lower 2027e target PE multiple of 43x (previously 59x) on a lower peers' average 2027e PE; and 2) we raise our 2027e EPS to RMB3.23 (from RMB2.19). We derive our new TP of RMB139.00 (from RMB129.00), implying 24% upside. Hence, we maintain our Buy rating on the stock. See **key downside risks** on [page 6](#).



MAINTAIN BUY

TARGET PRICE (CNY)

139.00

PREVIOUS TARGET (CNY)

129.00

SHARE PRICE (CNY)

111.99

(as of 07 Sep 2026)

UPSIDE/DOWNSIDE

+24.1%

MARKET DATA

Market cap (CNYm)	124,716	Free float	100%
Market cap (USDm)	18,584	BBG	301165 CH
3m ADTV (USDm)	414	RIC	301165.SZ

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC QH EPS	0.63	1.72	3.23	3.93
HSBC QH EPS prev	0.63	1.73	2.19	2.96
Change (%)	0.0	-0.1	47.8	33.0
Consensus EPS	0.89	1.39	2.21	2.77
PE (x)	179.1	65.0	34.6	28.5
Dividend yield (%)	0.5	0.8	1.7	2.1
EV/EBITDA (x)	109.3	62.4	30.3	24.8
ROE (%)	13.7	29.3	53.2	52.4

52-WEEK PRICE (CNY)



Source: LSEG IBES, HSBC Qianhai Securities estimates

Yiran Liu* (Reg. No. S1700520040001)

Head of A-share IT Software Research

HSBC Qianhai Securities Limited

yiran1.liu@hsbcqh.com.cn

+86 10 5795 2349

Heng Zhang* (Reg. No. S1700524050001)

Analyst, A-share IT Software Research

HSBC Qianhai Securities Limited

heng.zhang@hsbcqh.com.cn

+86 10 5795 2384

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations

HSBC Funding the Future Survey

AI megadeals and the rest

Click to view

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Qianhai Securities Limited

View HSBC Qianhai Securities at:

<https://www.research.hsbc.com>

Financials & valuation: Ruijie Networks

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	14,316	21,069	33,639	42,268
EBITDA	1,134	1,991	4,121	5,005
Depreciation & amortisation	-278	-168	-167	-201
Operating profit/EBIT	856	1,824	3,953	4,804
Net interest	1	9	0	-1
PBT	825	1,793	3,923	4,774
HSBC Qianhai PBT	825	1,793	3,923	4,774
Taxation	-129	-143	-314	-382
Net profit	696	1,646	3,600	4,381
HSBC Qianhai net profit	656	1,605	3,559	4,340
Cash flow summary (CNYm)				
Cash flow from operations	1,828	925	2,088	3,825
Capex	-249	-587	-614	-642
Cash flow from investment	-503	-587	-614	-642
Dividends	-418	-987	-2,160	-2,628
Change in net debt	-1,260	283	596	-610
FCF equity	1,579	337	1,474	3,183
Balance sheet summary (CNYm)				
Intangible fixed assets	1,755	2,222	2,723	3,223
Tangible fixed assets	608	560	507	448
Current assets	7,846	9,403	12,286	14,986
Cash & others	2,648	2,365	1,769	2,379
Total assets	10,224	12,201	15,531	18,671
Operating liabilities	3,338	4,334	6,215	7,592
Gross debt	1,897	1,897	1,897	1,897
Net debt	-751	-468	128	-482
Shareholders' funds	4,989	5,966	7,406	9,158
Invested capital	4,223	5,487	7,532	8,685

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	22.4	47.2	59.7	25.7
EBITDA	75.1	75.5	106.9	21.5
Operating profit	93.3	112.9	116.8	21.5
PBT	103.5	117.3	118.8	21.7
HSBC Qianhai EPS	-38.1	175.7	87.5	21.7
Ratios (%)				
Revenue/IC (x)	3.1	4.3	5.2	5.2
ROIC	17.5	35.8	56.7	55.5
ROE	13.7	29.3	53.2	52.4
ROA	7.3	15.0	26.2	25.8
EBITDA margin	7.9	9.5	12.2	11.8
Operating profit margin	6.0	8.7	11.8	11.4
EBITDA/net interest (x)				4201.3
Net debt/equity	-15.1	-7.8	1.7	-5.3
Net debt/EBITDA (x)	-0.7	-0.2	0.0	-0.1
CF from operations/net debt			1634.9	
Per share data (CNY)				
EPS Rep (diluted)	0.88	1.48	3.23	3.93
HSBC Qianhai EPS (diluted)	0.63	1.72	3.23	3.93
DPS	0.53	0.89	1.94	2.36
Book value	6.27	5.36	6.65	8.22

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	8.7	5.9	3.7	2.9
EV/EBITDA	109.3	62.4	30.3	24.8
EV/IC	29.4	22.6	16.6	14.3
PE*	179.1	65.0	34.6	28.5
PB	17.9	20.9	16.8	13.6
FCF yield (%)	1.3	0.3	1.2	2.6
Dividend yield (%)	0.5	0.8	1.7	2.1

* Based on HSBC Qianhai EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	n/a	No. of board members	9
Energy intensity*	n/a	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	33.3
Social Indicators		Board members independence (%)	33.3
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

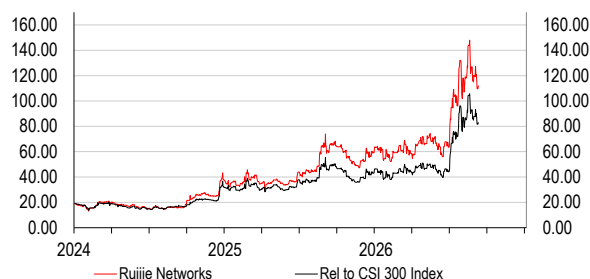
Source: Company data, HSBC Qianhai Securities

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	111.99	Free float	100%
Target price (CNY)	139.00	Sector	Software
RIC (Equity)	301165.SZ	Country/Region	China
Bloomberg (Equity)	301165 CH	Analyst	Yiran Liu
Market cap (USDm)	18,584	Contact	+86 10 5795 2349

Price relative



Source: HSBC Qianhai Securities

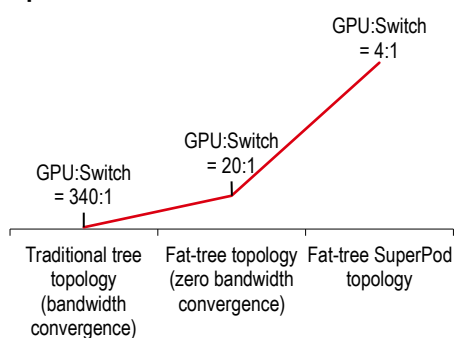
Note: Priced at close of 07 Sep 2026

Quantify the incremental switch demand from SuperPOD

The transition from traditional scale-out GPU clusters to SuperPOD architecture represents a structural inflection in switch intensity. According to Ruijie Networks, Nvidia, Huawei, and our analysis, for a 1,024-GPU cluster, under conventional tree network topology, the GPU-to-switch ratio sits at c340:1 (assuming 2 switch chips per switch). Under CLOS fat-tree (spine-leaf) network topology, the GPU-to-switch ratio improves to c20:1. SuperPOD designs integrate a dedicated scale-up fabric within the compute domain, lifting switch density by c5x to a GPU:switch ratio of c4:1.

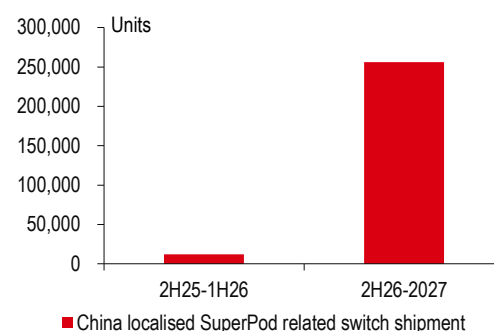
By July 2026, the shipment of Huawei's Ascend CloudMatrix384 SuperPOD, launched in May 2025, had reached over 750 (source: Southern Metropolis Daily, 16 July 2026). We expect large-scale SuperPOD orders from domestic hyperscalers to be placed starting from 2H26e, and we estimate China domestic SuperPOD shipments to reach over 16,000 over 2H26e and 2027e. Applying a GPU:switch ratio of 4:1, we estimate over 250k SuperPOD switches demand.

Exhibit 1. SuperPOD adoption should bring increasing switch density in compute cluster



Source: Ruijie company data, Nvidia, Huawei, HSBC Qianhai Securities estimates

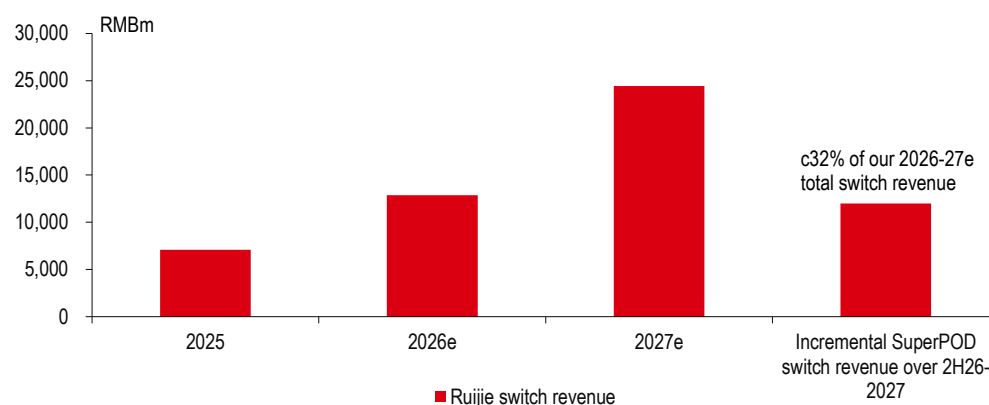
Exhibit 2. We estimate China localised SuperPOD related switch shipment to grow robustly over 2H26-2027e



Source: Ruijie company data, Huaqin, Southern Metropolis Daily (16 July 2026), HSBC Qianhai Securities estimates

Assuming Ruijie's share of domestic SuperPOD switches is at 30% with an ASP of RMB150k, we estimate incremental revenue of RMB12bn from SuperPOD switches over 2H26-2027e (vs RMB7bn in 2025 for traditional switch revenue).

Exhibit 3. We quantify incremental SuperPOD revenue for Ruijie to reach RMB12bn over 2H26-2027e



Source: Company data, HSBC Qianhai Securities estimates

Estimate revisions

Ruijie's 2Q26 revenue and net profit grew 42% and 66% y-o-y respectively, in line with its preliminary results range.

We raise our 2026-28 revenue estimates by 5%, 29%, and 27%, respectively, mainly as we factor in domestic SuperPOD switch demand and expect higher data centre switch sales volume and higher ASP for Ruijie.

In addition, as we expect more R&D investment on SuperPOD switch and advanced optical architecture like LPO, NPO, CPO, we raise our 2026-28e core expenses (selling, administrative and R&D expenses combined) by 9%, 17%, and 20%, respectively.

After above changes, our 2026e net profit estimate is largely unchanged, and we raise our 2027-28e net profit by 48% and 33%, respectively.

Exhibit 4. Revenue estimate changes, by segment

(RMBm)	2026e			2027e			2028e		
	Old	New	Change	Old	New	Change	Old	New	Change
Network Devices	18,280	19,156	5%	24,130	31,608	31%	31,127	40,142	29%
Cloud Desktop Solutions	630	630	0%	693	693	0%	728	728	0%
Network Security Products	518	553	7%	544	608	12%	572	669	17%
Others	729	729	0%	729	729	0%	729	729	0%
Total	20,158	21,069	5%	26,096	33,639	29%	33,156	42,268	27%

Source: HSBC Qianhai Securities estimates

Exhibit 5. Revenue and earnings estimate changes

(RMBm)	2026e			2027e			2028e		
	Old	New	Change	Old	New	Change	Old	New	Change
Revenue	20,158	21,069	5%	26,096	33,639	29%	33,156	42,268	27%
Costs	13,852	14,383	4%	18,393	23,797	29%	23,933	30,792	29%
Gross profit	6,306	6,686	6%	7,704	9,842	28%	9,223	11,476	24%
Selling expenses	1,634	1,758	8%	1,721	1,855	8%	1,842	1,987	8%
Administrative expenses	727	708	-3%	778	748	-4%	835	792	-5%
R&D expenses	2,221	2,523	14%	2,625	3,384	29%	3,017	4,049	34%
Financing expenses	8	9	13%	10	17	77%	8	19	127%
Tax and extra charges	82	63	-23%	106	101	-5%	135	127	-6%
Impairment loss	92	84	-9%	119	135	13%	152	169	11%
Other operating income	244	244	0%	301	312	4%	347	432	24%
Operating profit	1,787	1,784	0%	2,644	3,914	48%	3,580	4,764	33%
Non-operating income	17	17	0%	17	17	0%	17	17	0%
Non-operating expenses	7	7	0%	7	7	0%	7	7	0%
Profit before tax	1,796	1,793	0%	2,654	3,923	48%	3,589	4,774	33%
Income tax	144	143	0%	212	314	48%	287	382	33%
Profit after tax	1,652	1,650	0%	2,441	3,609	48%	3,302	4,392	33%
Minority Interest	4	4	0%	6	9	48%	8	11	33%
Net profit	1,648	1,646	0%	2,435	3,600	48%	3,294	4,381	33%

Source: HSBC Qianhai Securities estimates

Our 2027-28 revenue and net profit estimates are above Wind consensus, as we are more optimistic on: 1) the data centre switch volume and ASP tailwinds; and 2) Ruijie's net margin expansion backed by economies of scale.

Exhibit 6. HSBC Qianhai Securities estimates versus Wind consensus

(RMBm)	HSBC Qianhai estimates			Wind consensus			Difference		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	21,069	33,639	42,268	21,503	31,324	40,764	-2%	7%	4%
Net profit	1,646	3,600	4,381	1,692	2,880	4,075	-3%	25%	7%

Source: Wind, HSBC Qianhai Securities estimates

Exhibit 7. Sensitivity analysis of estimated net profit attributable to the parent

Changes in R&D expense ratio	Changes in net profit attributable to the parent		
	2026e	2027e	2028e
-1ppt	11.4%	9.5%	9.3%
0ppt	0.0%	0.0%	0.0%
+1ppt	-11.1%	-10.3%	-9.2%

Source: HSBC Qianhai Securities estimates

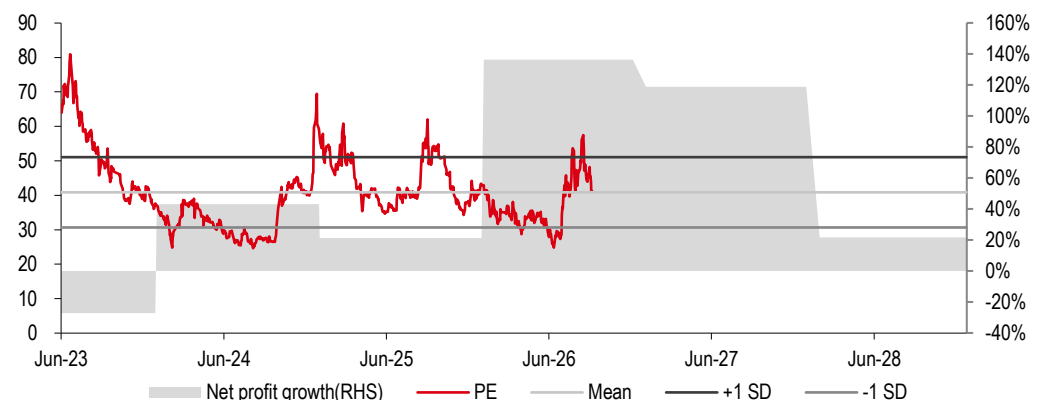
Valuation and Risks
Maintain Buy; raise PE-based TP to RMB139.00 (from RMB129.00)

We continue to use a PE multiple to value Ruijie and refer to peers' PE multiple. Peers' average 2025-28e EPS CAGR stands at 54%, with 2027e average PE at 28x (previously 41x). We expect Ruijie's 2025-28e EPS to grow at a CAGR of 85% (previously 68%), hence we apply a 43x 2027e target PE ($85/54 \times 28$, previously 59x) to value Ruijie. Based on 2027e EPS of RMB3.23 (previously RMB2.19), we arrive at our new TP of RMB139.00 (from RMB129.00), implying 24% upside. Accordingly, we maintain our Buy rating on Ruijie.

Exhibit 8. Comparable companies for Ruijie

		HSBC	Market	Target														
Ticker	Company	Qianhai Rating	Cap USDbn	ADTV USDm	Price RMB	Price RMB	Revenue 2026e	Growth 2027e	EPS 2026e	Growth 2027e	2025-28e CAGR	PS (x) 2026e	PE (x) 2027e	PE (x) 2026e	PEG (x) 2027e	ROE 2026e	ROE 2027e	
301165 CH	Ruijie*	Buy	18.6	414	139.00	109.70	47%	60%	176%	88%	85%	5.8	3.6	65	35	0.7	29%	53%
600498 CH	Fiber home	Buy	7.6	811	56.00	38.99	18%	16%	249%	27%	73%	1.8	1.5	30	24	1.1	9%	11%
000063 CH	ZTE	NR	22.0	986		33.07	11%	13%	6%	15%	11%	1.1	0.9	27	23	1.7	8%	8%
603296 CH	Huqin	NR	16.9	339		75.98	20%	21%	27%	22%	24%	0.6	0.5	21	17	0.8	18%	19%
688629 CH	Huafeng	NR	8.5	477		122.40	78%	67%	91%	87%	79%	12.7	7.6	82	44	0.6	26%	32%
Average			14.6	591			35%	35%	110%	48%	54%	4.4	2.8	45	28	1.0	18%	25%

Note: Priced at close of 7 September 2026. *Covered by HSBC Qianhai Securities and HSBC Qianhai Securities estimates are used. NR – Not Rated. NA – Not Applicable/Available.
Source: Bloomberg, Wind consensus (for Not Rated stocks), HSBC Qianhai Securities estimates (for HSBC Qianhai Securities covered stocks)

Exhibit 9. Ruijie 1-yr forward PE band


Source: Company data, Wind, HSBC Qianhai Securities estimates

Potential share price catalysts:

- ◆ **Increasing capex from domestic hyperscale's on network devices:** Domestic hyperscalers are rapidly boosting their capex, with the combined spending of ByteDance, Alibaba, and Tencent reaching RMB346bn in 2025 and set to more than double to over RMB700bn in 2026 (see [China AIDCs and Supply Chain](#), 23 June 2026). This is still well below the spending intensity of US peers, indicating there's substantial growth potential. Increasing capex from domestic hyperscalers on network devices will boost order intake and revenue growth for Ruijie.
- ◆ **Rising adoption of rack-scale compute solutions like SuperPOD:** As the communication rate between cabinets is becoming more and more difficult to meet the demand for AI LLM training and inference currently, rack-scale compute systems like SuperPOD are seeing rising adoption, which should boost scale-up switches demand and support revenue growth for Ruijie.

Key downside risks:

- ◆ **More-intense-than-expected competition:** If companies like Huawei or H3C expand further into the internet white-box switch market, it could negatively impact Ruijie's market share.
- ◆ **Major customer concentration and AI capex cyclical fluctuations:** Ruijie derives c45% of its total revenue from major Chinese internet companies in 2025 (source: company data). Since these internet companies' capital expenditure cycles are highly synchronised, any slowdown could affect revenue growth.
- ◆ **US tech restrictions:** Ruijie's switching chips are primarily sourced from Broadcom. Despite domestic switch chip suppliers such as Centec (688702 CH) can provide some level of domestic alternatives, the performance of domestic switch chips still lags behind that of overseas counterparts, and they also face challenges related to limited production capacity. If the U.S.-China tech decoupling trend escalates, the supply of high-end chips could be affected.
- ◆ **Gross margin volatility:** Given that the white-box data centre switch's gross margin is lower than that of branded campus switches, a faster-than-expected increase in revenue contribution from data centre switches might cause gross margin volatility.

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Yiran Liu and Heng Zhang

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

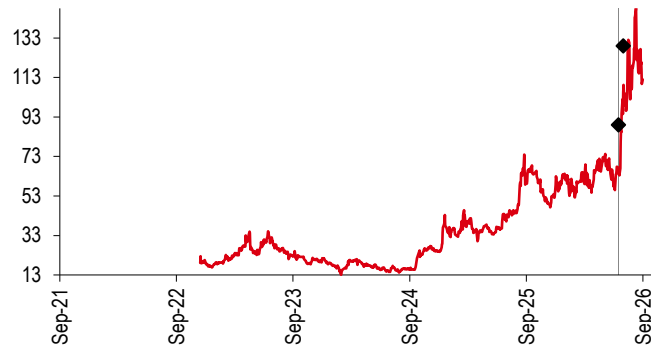
Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities
Ruijie Networks (301165.SZ) share price performance
CNY Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	23 Jun 2026	Yiran Liu
Target price	Value	Date	Analyst
Price 1	89.00	23 Jun 2026	Yiran Liu
Price 2	129.00	08 Jul 2026	Yiran Liu

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: www.research.privatebank.hsbc.com/Disclosures

All other clients: www.research.hsbc.com/A/Disclosures

HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
RUIJIE NETWORKS	301165.SZ	111.99	07 Sep 2026	–

Source: HSBC

- 1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- 2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- 3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- 4 As of 31 July 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- 5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- 6 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- 7 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- 8 A covering analyst/s has received compensation from this company in the past 12 months.
- 9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
- 10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- 11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- 12 As of 02 September 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

13 As of 02 September 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at www.hsbcnet.com/research. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

HSBC may use Artificial Intelligence (AI) tools approved for adoption within HSBC in the development of its research reports, utilizing these technologies to analyse large volumes of data, enhance efficiency and improve the overall user experience. This includes but is not limited to paraphrasing, developing suitable captions and supporting data visualisation. It is important to note that while AI tools assist in various aspects of report creation, all investment recommendations and opinions presented herein are formulated and approved exclusively by our research analysts. The final content of the report reflects the professional judgement and expertise of our research analysts, ensuring compliance with regulatory standards and maintaining the integrity of our research process.

Additional disclosures

- 1 This report is dated as at 08 September 2026.
- 2 All market data included in this report are dated as at close 07 September 2026, unless a different date and/or a specific time of day is indicated in the report.
- 3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.
- 4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.
- 5 This report may be a translation of a report authored in another language. If so, and if there is any discrepancy between versions, the original-language version shall prevail.

Production & distribution disclosures

1. This report was produced and signed off by the author on 08 Sep 2026 08:45 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at <https://research.hsbcqh.com.cn/R/34/kFnCVVZ>

Disclaimer

Legal entities as at 13 May 2026:

HSBC Bank plc; HSBC Continental Europe; HSBC Continental Europe SA, Germany; HSBC Bank Middle East Limited, DIFC; HSBC Bank Middle East Limited, Dubai branch; HSBC Yatirim Menkul Degerler AS, Istanbul; The Hongkong and Shanghai Banking Corporation Limited, Hong Kong; The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch; HSBC Qianhai Securities Limited; HSBC Securities (Taiwan) Corporation Limited; HSBC Securities and Capital Markets (India) Private Limited, Mumbai; HSBC Bank Australia Limited; HSBC Securities (USA) Inc., New York; HSBC México, SA, Institución de Banca Múltiple, Grupo Financiero HSBC; Banco HSBC SA

Issuer of report**HSBC Qianhai Securities Limited**

Unit 2201, 22/F, Qianhai Chow Tai Fook Finance Tower (Phase I), No. 66 Shu Niu Avenue, Nanshan Subdistrict, the Shenzhen Qianhai Shenzhen-Hong Kong Cooperation Zone, the PRC

Phone number: +86 755 8898 3288

Website: www.hsbcqh.com.cn

In mainland China, this document is issued and approved by HSBC Qianhai Securities Limited for the information of its clients only; it is not intended for and should not be distributed to retail customers in mainland China. HSBC Qianhai Securities Limited is regulated by the China Securities Regulatory Commission ("CSRC") and is qualified to engage in Securities Investment Advisory Business in mainland China [91440300MA5EPLHG1B]. All inquiries by recipients must be directed to the HSBC Qianhai Securities Limited contact in mainland China. If it is received by a customer of an affiliate of HSBC Qianhai Securities Limited, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. This document is being supplied to you solely for your information and may not be redistributed or passed on, directly or indirectly, to any other person, in whole or in part, for any purpose. This document is not and should not be construed as an offer to sell or solicitation of an offer to purchase or subscribe for any investment. HSBC Qianhai Securities Limited has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC Qianhai Securities Limited makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. The decision and responsibility on whether or not to purchase, subscribe or sell (as applicable) must be taken by the investor. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient. Any form of written or verbal commitment on the sharing of gains or losses from the securities investment between the investors and the HSBC Qianhai Securities Limited arising from the research services provided are not permitted and shall be invalid. Expressions of opinion are those of the Research Division of HSBC Qianhai Securities Limited only and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC Qianhai Securities Limited and its affiliates and/or their officers, directors and employees may have positions in any securities mentioned in this document (or in any related investment) and may from time to time add to or dispose of any such securities (or investment) to the extent permitted by law. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. HSBC Qianhai Securities Limited and its affiliates may act as market maker or have assumed an underwriting commitment in the securities of companies discussed in this document (or in related investments), may sell them to or buy them from customers on a principal basis and may also perform or seek to perform investment banking or underwriting services for or relating to those companies and may also be represented on the supervisory board or any other committee of those companies. This document may contain hyperlinks to external websites for convenience of its recipients. HSBC Qianhai Securities Limited are not responsible for any content therein.

The Hongkong and Shanghai Banking Corporation Limited owns 90% and Qianhai Financial Holdings Co., Ltd. ("QFH") owns 10% of shares in HSBC Qianhai Securities Limited, which prepared and/or contributed to this research report. HSBC Qianhai Securities Limited has established policies and procedures reasonably designed to prevent QFH from exercising direct or indirect influence over the content of HSBC Qianhai Securities Limited research reports and the choice of companies that will be the subject of research reports. Furthermore, HSBC Qianhai Securities Limited has established additional policies and procedures reasonably designed to prevent any person or entity, whether from within HSBC Qianhai Securities Limited, QFH or otherwise, from influencing the activities of the HSBC Qianhai Securities Limited's research analysts or the content of research reports.

In Hong Kong, this document has been distributed by The Hongkong and Shanghai Banking Corporation Limited in the conduct of its Hong Kong regulated business for the information of its institutional and professional customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. The Hongkong and Shanghai Banking Corporation Limited makes no representations that the products or services mentioned in this document are available to persons in Hong Kong. Any enquiries with respect to any matters arising from, or in connection with, this research report should be directed to the recipient's contact person at The Hongkong and Shanghai Banking Corporation Limited. The analyst(s) named in this research report who is(are) not employed by and/or accredited to The Hongkong and Shanghai Banking Corporation Limited is(are) not licensed to carry on any regulated activities in Hong Kong under the SFO. The analyst(s) is(are) only named in this research report as being a source of the information contained herein and does(do) not purport to carry on any regulated activities in Hong Kong under the SFO or hold himself/herself(themselves) out as being able to do so. The document is intended to be distributed in its entirety. Unless governing law permits otherwise, you must contact a HSBC Group member in your home jurisdiction if you wish to use HSBC Group services in effecting a transaction in any investment mentioned in this document.

In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd. It may not be further distributed in whole or in part for any purpose. In Korea, this publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea. In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc., a US-registered broker-dealer and member of FINRA, accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All US persons receiving and/or accessing this report and wishing to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures".

If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB. Should you wish to use AI technology to help you analyse, summarise or evaluate this publication and/or any other research materials provided to you by HSBC, you shall seek prior written consent from HSBC Qianhai Securities Limited for any such use. Without obtaining a prior written consent from HSBC Qianhai Securities Limited, you shall not upload this publication and/or any other research materials produced by HSBC to an AI system or otherwise use AI technology in connection with the research services HSBC provides to you. For the purposes of this disclaimer, AI technology refers to any technology that uses computational, statistical, machine-learning, or other artificial intelligence techniques to infer or learn from data to find patterns, take actions, make decisions, or generate output.

© Copyright 2026, HSBC Qianhai Securities Limited, ALL RIGHTS RESERVED. No part of this publication may be reproduced, stored in a retrieval system, or transmitted, in any form or by any means, electronic, mechanical, photocopying, recording, or otherwise, without the prior written permission of HSBC Qianhai Securities Limited.

[1289393]